DEDAN KIMATHI UNIVERSITY OF TECHNOLOGY

COURSE TITLE: TECHNICAL EDUCATION MANAGEMENT, PLANNING AND ECONOMICS

TOPIC 11A: THEORY OF HUMAN CAPITAL

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TOPIC 11A: THEORY OF HUMAN CAPITAL

TERMINOLOGIES.

Human capital refers to an individual's qualities that are considered to be available to the business.

It includes employee knowledge, talent, aptitude, skills, expertise, health and education.

It is the intangible collective resources that people and groups within a population possess.

Social scientists use this term while referring to the monetary worth of a worker's knowledge and abilities.

Investing in education, on-the-job training, and health can enhance these capacities.

Human capital theory refers to enhancing human productivity and efficiency with a greater emphasis on education and training

CONCEPT BEHIND HUMAN CAPITAL

The basic concept behind human capital is as follows:

We make investments in our company's tangible assets, such as equipment or technology.

This enables us to generate our stocks or goods and generate income from them.

So, we ought to make the same kind of investment in human capital through education and training.

HISTORY OF HUMAN CAPITAL

The history of Human Capital etches back to 1776 when Adam Smith referred to a similar concept in his work 'The Wealth of Nations in which he explored the wealth, knowledge, training, talents, and experiences of a nation.

Although Adam Smith did not use the term, he paved the way for studying it.

Adams suggested that improving human capital through training and education leads to a more profitable enterprise, which adds to the collective wealth of society. According to Smith, that makes it a win for everyone.

Later in 1920, Alfred Marshall described the long-term nature of investments in human capital and the family's role in making them in his work Principles of Economics.

The theory of human capital was shaped largely by Gary S. Becker, an American student of Schultz who treated human capital as the outcome of an investment process. Because the acquisition of productive knowledge is costly (e.g., students pay direct costs and forego opportunities to earn wages),

Becker concluded that rational actors will make such investments only if the expected stream of future benefits exceeds the short-term costs associated with acquiring the skills. Such investments therefore affect one's "age-earnings profile," the trajectory of earnings over one's lifetime.

Those who leave school early, for example, earn market wages for more years on average than those who take advantage of extended schooling, but those in the latter group typically earn higher wages over their lifetimes. Under certain conditions, however, the total lifetime earnings of the two groups can be the same, even though the highly educated tend to earn higher wages when they work.

To enhance or accumulate such traits, training or education is essential.

Hence, every day, managers must be able to teach, train, and lead their employees.

They should serve as a focal point for workplace guidance.

According to this theory, sufficient investment in people will lead to economic growth. This includes training or education. For instance, several nations provide their citizens with a free college education because they recognize that a better-educated population tends to earn and spend more, encouraging the economy.

EXAMPLES OF HUMAN CAPITAL

Examples of human capital include:

1. Communication skills
2. Education
3. Technical skills
4. Creativity
5. Experience
6. Problem-solving skills
7. Mental health, and
8. Personal resilience.

HOW TO INCREASE HUMAN CAPITAL

Ways to increase your own human capital include:

1. More education
2. Automating finances to improve efficiency
3. Expanding your horizons outside of your social and workplaces
4. Obtaining more experience
5. Increasing participation in a multitude of activities or organizations
6. Improving your communication skills
7. Improving your health, and
8. Expanding your network.

IMPORTANCE OF HUMAN CAPITAL

1. It is essential because it increases productivity in several ways. First, according to the hypothesis, education is an investment in skills that contributes to increasing production.
2. Education raises an individual's human capital stock, enhancing productivity and contributing to economic growth.
3. Human capital, indicated by the accumulation of scientific knowledge, is directly responsible for generating new designs/ideas. Moreover, by enhancing research and development, investment in such capital promotes an increase in physical capital, which results in economic expansion.
4. Individuals' continuous acquisition of knowledge, whether via deliberate efforts or learning by doing, increases labor and capital productivity, contributing to economic growth.
5. Through investing in education and training, individuals can improve their skills and knowledge which leads to increased labor market outcomes such as higher wages and increased job satisfaction.
6. Human capital theory help people understand that education and training are investment that can yield significant returns in terms of increased productivity, earnings and economic growth.
7. Education and training may help individuals adjust to changing work needs and economic situations, making them more adaptable and resilient in the labor market. In the end, this can support economic growth by assisting people and companies in responding to new possibilities and challenges.
8. The concept of human capital may assist organizations and governments in better resource distribution by highlighting areas where spending on education and training can lead to the most significant gains in terms of higher productivity and economic expansion. Also, it can encourage resource utilization that is more efficient and less wasteful.
9. Human capital theory suggests that education and training can help individuals overcome socioeconomic barriers and increase their upward mobility. Through investing in education and training individual from disadvantaged backgrounds can improve their skills and knowledge and are able to compete more effectively in the labor market.

CRITICISM OF HUMAN CAPITAL THEORY

1. Some individuals find it depressing to be referred to as "business equipment" or corporate property.
2. Others contend that this capital development approach does not permit precise measurements of abilities and skills. To evaluate or reward employees based on these is intangible.
3. It can also result in charges of favoritism and bias in the job.
4. While improving employee skillsets and competencies is essential, it is not sufficient to sustain a whole enterprise. Modern sociologists and anthropologists disagree with the theory, arguing that it is based on fairly simplistic assumptions.
5. In the 1960s the theory was attacked primarily because it legitimized those of the middle class who were believed to exploit those of the working class, which was seen as selfish and exploitative.
6. The theory was also believed to blame people for any defects that happened in the system and of making capitalists out of workers.

7. Human capital theory assumes that everyone has equal access to education and training opportunities. In reality, many individuals face barriers to accessing education and trainings such as financial constraints, geographic location or discrimination. This leads to unequal distribution of human capital.
8. Human capital theory suggests that individuals are responsible for investing in education and training. There exist many factors that are beyond individual control such as family background, social and economic conditions, discrimination which has an impact on their ability to invest in education and training.
9. This theory assumes that individuals make rational decisions to invest in education and training based on their expected returns. The labor market is complex and dynamic making it difficult to predict the actual returns on education and training.

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